Snapshot (TL;DR)

What it is: The practice of checking competitors' price lists and setting one's own price at approximately the same level, plus or minus a small percentage difference.

Why it's tempting: It is **simple** and avoids the need for complex, thorough market research. It appears **relatively safe** because setting a price close to a rival's price minimizes the risk of losing market share.

Where it fails: Lulls managers into **passivity**; detaches price from value; risks destructive **price wars**; misaligns with demand; overlooks value capture opportunities.

When to use: Highly competitive, price-sensitive markets with easily substitutable products; markets lacking differentiation (initially). **Rarely appropriate as primary strategy.**

Key Takeaways:

- **Management passivity:** Competition-based pricing lulls managers into passivity, causing them to lose sight of their own pricing responsibilities (e.g., maximizing value capture or justifying price).
- **Price war risk:** If all companies focus overzealously on gaining market share and follow each other's price movements (double-mirroring), prices can easily slip into a downward spiral, destroying industry profitability.

What is competition-based pricing?

Competition-Based Pricing is a reactive pricing strategy where the price is determined primarily by the prices set by rival firms, assuming that the industry price level sets the acceptable standard for the marketplace. This is often the second-most-popular price-setting approach.

Key definitions

Price ≈ Competitor's Price

- **Double-mirroring:** When firms follow each other's price movements in a reactive cycle, leading to potential price wars. This creates a negative-sum game where all competitors lose profitability.
- **Market share focus:** The primary goal of maintaining or gaining market share through competitive price matching, often at the expense of profitability and value communication.
- **Reactive pricing:** Pricing decisions made primarily in response to competitor actions rather than proactive value-based analysis.

Core assumptions (flawed)

Competition-based pricing assumes:

- The primary goal is to achieve gains in market share or protect existing share.
- Pricing decisions are low-risk as long as the firm matches the competition.
- Competitors have already determined the appropriate price based on customer value and cost structures.

Why competition-based pricing is tempting?

Competition-based pricing is widely used, but understanding its limitations is critical to avoid common pitfalls that lead to suboptimal pricing and destructive price wars.

- **Simplicity:** Easy to execute without complex market research or value discovery processes.
- **Appears safe:** Setting a price close to a rival's price minimizes the perceived risk of losing market share.
- **Avoids difficult decisions:** No need to calculate price based on value or conduct thorough market research.
- **Widely adopted:** Common practice across industries, making it feel like a standard approach.
- **Misperceived as strategic:** Some managers mistakenly believe this is "strategic pricing" because they are reacting to the market.

When should you use competition-based pricing?

Competition-based pricing leverages the reality that in most markets, the largest portion of the price is determined by competition, rather than the intrinsic value-in-use to the customer. While it should rarely be the primary or sole pricing strategy, it serves important roles in specific contexts.

Decision criteria (use vs avoid)

Situation	Use competition-based?	Why / Note
Highly competitive, price-sensitive markets with easily substitutable products	✅ Likely	Competition determines price point in interchangeable markets (e.g., consumer staples like milk).
Markets lacking differentiation with similar solutions	✅ May be necessary initially	Use until differentiation can be established.
Early prototype with poor WTP data	⚠️ As reference	Ensure viability; plan to replace within 1–2 cycles.
Differentiated products with unique value	❌ Avoid	Misses value capture opportunities; use value-based pricing instead.
Multi-segment markets with varying WTP	❌ Avoid	Ignores segmentation opportunity; different segments have different WTP.
Markets prone to price wars	❌ Avoid	Accelerates destructive price spirals and industry-wide profit destruction.

Where competition-based pricing fails

😴 Lulls into Passivity

It lulls managers into passivity, causing them to lose sight of their own pricing responsibilities (e.g., maximizing value capture or justifying price). When pricing is simply a matter of matching competitors, managers stop thinking proactively about value creation and pricing strategy.

💔 Detaches Price from Value

It relies on low pricing as a substitute for inadequate marketing and sales efforts (meaning the firm fails to justify its actual value). Instead of communicating and demonstrating value, firms use competitive pricing as a crutch, undermining their value proposition over time.

⚔️ Risks Price Wars

If all companies focus overzealously on gaining market share and follow each other's price movements (double-mirroring), prices can easily slip into a downward spiral, destroying industry profitability. This creates a negative-sum game where all competitors lose.

📉 Misaligns with Demand

Prices can easily fall out of sync with current customer demand if every firm is simply focused on copying the competition. When firms stop paying attention to actual market conditions and customer willingness-to-pay, prices become disconnected from reality.

References & Links

Sources:

- Raju, J. G., & Zhang, Z. J. (2010). *Smart pricing: How Google, Priceline, and leading businesses use pricing innovation for profitability*. *Pearson*.
- Nagle, T. T., Muller, G., & Gruyaert, E. (2023). *The strategy and tactics of pricing: A guide to growing more profitably* (7th ed.). *Routledge*.

Related pages: Value-Based Pricing | Strategic Pricing | Customer-Driven Pricing | Cost-Plus Pricing | Willingness-to-Pay (WTP)

FAQ

Q: How is competition-based pricing different from value-based pricing?

A: Competition-based pricing is a reactive approach that simply matches competitor prices, while value-based pricing proactively considers value, costs, competition, and customer segments to optimize long-term profitability.

Q: What if all my competitors are using competition-based pricing?

A: This creates an opportunity for differentiation through value-based pricing. If competitors are simply matching each other, you can gain advantage by understanding customer value better and pricing accordingly, rather than following the herd into potential price wars.

Q: How does competition-based pricing affect industry profitability?

A: When all firms focus on matching or undercutting competitors to gain market share, prices can spiral downward in a destructive cycle. This creates a negative-sum game where industry profitability is destroyed, and all competitors suffer.

Q: When is competition-based pricing appropriate?

A: Competition-based pricing is likely effective in highly competitive, price-sensitive markets with easily substitutable products (e.g., consumer staples like milk), where competition determines the price point. It may be necessary initially in markets lacking differentiation, or as a reference point for early prototypes with poor WTP data. However, it should rarely be the primary or sole pricing strategy, and should be avoided for differentiated products, multi-segment markets, or markets prone to price wars.